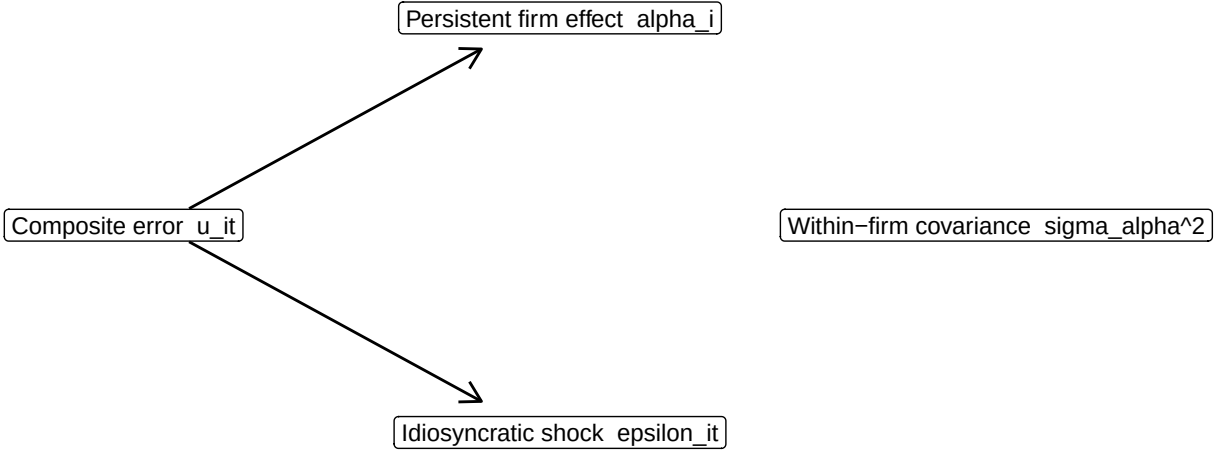
Persistent firm effect alpha_i
Composite error u_it
Within−firm covariance sigma_alpha^2
Idiosyncratic shock epsilon_it